

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 10
Honorable Frederick S. Chung**

Rachel Tien, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2210

DATE: June 27, 2024 TIME: 9:00 A.M.

To contest the ruling, call (408) 808-6856 before 4:00 P.M.

Make sure to let the other side know before 4:00 P.M. that you plan to contest the ruling,
in accordance with California Rule of Court 3.1308(a)(1) and Local Rule 8.E.

LINE #	CASE #	CASE TITLE	RULING
LINE 1	23CV419499	Rosendo Cortes Fernandez v. Pacific Weathershield, Inc. et al.	Click on LINE 1 or scroll down for ruling in lines 1-2.
LINE 2	23CV419499	Rosendo Cortes Fernandez v. Pacific Weathershield, Inc. et al.	Click on LINE 1 or scroll down for ruling in lines 1-2.
LINE 3	23CV425854	William C. Dresser v. Adil Kiek Hiranane et al.	Click on LINE 3 or scroll down for ruling.
LINE 4	19CV360439	Mesfin Regassa Ayle et al. v. Keith Laverne Booth et al.	Motion for summary judgment by defendant County of Santa Clara: the hearing on this motion has been continued to August 1, 2024 at 9:00 a.m., per the court's June 12, 2024 order.
LINE 5	19CV360439	Mesfin Regassa Ayle et al. v. Keith Laverne Booth et al.	Motion to compel: click on LINE 5 or scroll down for ruling.
LINE 6	18CV326162	The Santana Row-Deforest Building Residential Condominium Owners Association v. Claude Wilkes	Motion to be relieved as counsel: <u>parties to appear</u> .
LINE 7	20CV367103	Marco Gurrola v. Johnny Mendoza et al.	Motion to be relieved as counsel: <u>parties to appear</u> .
LINE 8	23CV424158	Marco Cruz Chaidez et al. v. County of Santa Clara et al.	Petition for approval of compromise of minor's claim: <u>parties to appear</u> , in accordance with CRC 7.952.

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Calendar Lines 1-2

Case Name: *Rosendo Cortes Fernandez v. Pacific Weathershield, Inc. et al.*

Case No.: 23CV419499

Defendant Gregg Crawford Construction, Inc. d/b/a Pacific Weathershield (“Crawford”) demurs to the first amended complaint (“FAC”) filed by plaintiff Rosendo Cortes Fernandez (“Fernandez”). In addition, Crawford moves to strike all or part of the FAC. Notice is proper for both the demurrer and motion, but the court has not received any opposition from Fernandez. The court sustains the demurrer in part and overrules it in part. The court denies the motion to strike.

First, Crawford contends, in support of both its demurrer and its motion to strike, that Fernandez has failed sufficiently to allege successor liability, given that Fernandez was employed by Pacific Weathershield rather than Crawford. According to Crawford, when a corporation purchases the assets of another corporation—and in this case, Crawford is alleged to have “purchased Pacific Weathershield through his company Gregg Construction” (FAC, ¶ 13)—the general rule is that “the acquiring corporation does not assume the selling corporation’s debts and liabilities.” (Memorandum in Support of Demurrer, p. 3:24-27.) Crawford then goes on to cite extrinsic evidence that shows that Crawford entered into an “Asset Purchase Agreement” with Pacific Weathershield and that this agreement “expressly provides” that “Crawford will not be liable for any of Pacific Weathershield, Inc.’s liabilities.” (*Id.* at p. 4:1-11.) Because the FAC affirmatively alleges that Crawford succeeded to Pacific Weathershield’s liabilities (FAC, ¶ 13), the court must accept this allegation as true on a demurrer or motion to strike. (See, e.g., *Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, 998.) And because Crawford’s argument ultimately relies on *extrinsic evidence* in an effort to dispute this factual allegation in the complaint, the court must reject this basis for the demurrer and motion to strike. The court **OVERRULES** the demurrer to the FAC and **DENIES** the motion to strike Crawford as a defendant on the basis of successor liability.

Second, Crawford argues that the first cause of action fails to state a sufficient basis for liability, because it is based on an alleged violation of Labor Code section 6409.6, which has been repealed as of January 1, 2024. The court agrees with Crawford that a violation of Labor Code section 6409.6 can no longer be the basis for a valid cause of action and therefore **SUSTAINS** the demurrer to the first cause of action without leave to amend.

Third, Crawford argues that the ninth cause of action (for violation of Labor Code section 1102.5) fails to state sufficient facts, because Fernandez does not sufficiently allege how he acted as a whistleblower. Although the court agrees with Crawford that the factual allegations in this cause of action are somewhat generic, the court finds that the allegation that Fernandez “complain[ed] internally to people with authority over plaintiff and/or authority to investigate or correct the violation or noncompliance with a reasonable belief that the information disclosed potential violations of state statutes or regulations relating to, inter alia, violations of regulations pertaining to the FEHA and California’s anti-disability discrimination and anti-retaliation” is sufficient to survive a demurrer. The ninth cause of action incorporates by reference all of the preceding allegations in the FAC regarding alleged violations of FEHA. The court **OVERRULES** the demurrer to the ninth cause of action.

Fourth, Crawford argues in support of his motion to strike that the first cause of action is based on a repealed statute, Labor Code section 6409.6. Because the court has already